# VIAV

Viavi Solutions Inc. (NASDAQ)

As-of: 17-Oct-2026 | Latest Filing: Q4 FY26 (10-K) | Currency: USD

**$33.38** [Mkt 16-Oct-26]

Market Cap: $8.2B [Mkt 16-Oct-26]

## Attractiveness Score

Confidence: **High** (0 pillars excluded)

## Pillar Breakdown

### 1. Operating Quality — 60

Turnaround in progress: Spirent diversifies into data center and A&D, but GAAP profitability is thin and the non-GAAP gap (amortization, restructuring) is wide. ROIC is below average.

### 2. Recent Trend — 85

FY26 revenue +40%, non-GAAP EPS +113%, operating margin +630bps. Q4 beat on both lines. The operational momentum is undeniable.

### 3. Forward Growth — 80

Data center test demand (800G/1.6T), Spirent cross-sell, A&D positioning solutions. Q1 FY27 guide implies continued sequential growth. Consensus sees +23.5% FY27 revenue.

### 4. Valuation — 60

At $33.38 vs $40.13 DCF base, the stock offers ~20% upside. NTM P/E 17.1x and PEG 1.34 are reasonable for the growth rate. Not cheap, not stretched.

### 5. Catalysts & Risk — 70

Q1 FY27 earnings test the guidance. Spirent integration execution is key. Legacy telecom spending remains structurally weak. Stock +196% in a year invites profit-taking.

## Investment Thesis

- **AI Test Equipment Turnaround:** Q4 FY26 revenue +52.5% YoY to $443.1M, non-GAAP EPS $0.34 (beat). NSE +69% on AI data center test demand; data center is ~50% of NSE revenue. FY26 non-GAAP operating margin expanded 630bps to 20.6% [8-K Q4 FY26].
- **Spirent Diversification:** The Spirent acquisition adds high-speed Ethernet testing, network security, and channel emulation, reducing dependence on telecom carrier capex and opening cross-sell into AI clusters [8-K Q4 FY26].
- **Reasonable Valuation:** At $33.38 [Mkt 16-Oct-26], the stock trades 17% below our $40.13 DCF base. NTM P/E 17.1x is fair for 20%+ growth. The turnaround is working; the price has not run ahead of it.

## Key Operating Metrics

| METRIC | LATEST | YOY CHANGE | 3Y TREND |
|---|---|---|---|
| Revenue (Q4 FY26) | $443.1M [8-K Q4 FY26] | +52.5% [8-K Q4 FY26] | Up |
| EPS (Q4 FY26, non-GAAP) | $0.34 [8-K Q4 FY26] | +161.5% [8-K Q4 FY26] | Up |
| Non-GAAP Op Margin (Q4) | 24.0% [8-K Q4 FY26] | +9.6 pts [8-K Q4 FY26] | Up |
| Q1 FY27 Revenue Guide | $450-460M [8-K guid] | n/a [n/a] | Up |
| Revenue (FY26) | $1.52B [10-K FY26] | +40.0% [10-K FY26] | Up |
| EPS (FY26, non-GAAP) | $1.00 [10-K FY26] | +112.8% [10-K FY26] | Up |
| Non-GAAP Op Margin (FY26) | 20.6% [10-K FY26] | +6.3 pts [10-K FY26] | Up |

## Historical Financial Trend

| METRIC | FY22 | FY23 | FY24 | FY25 | FY26 |
|---|---|---|---|---|---|
| Revenue | $1.26B [10-K FY22] | $1.11B [10-K FY23] | $1.00B [10-K FY24] | $1.08B [10-K FY25] | $1.52B [10-K FY26] |
| Gross Margin | 58.9% [10-K FY22] | 57.1% [10-K FY23] | 56.8% [10-K FY24] | 57.3% [10-K FY25] | 57.7% [10-K FY26] |
| Non-GAAP Op Margin | 16.2% [10-K FY22] | 13.8% [10-K FY23] | 12.1% [10-K FY24] | 14.3% [10-K FY25] | 20.6% [10-K FY26] |

## Valuation

### Absolute (6/10)

NTM P/E 17.1x [Mkt 16-Oct-26]
DCF Base $40.13 vs $33.38 spot [Mkt 16-Oct-26]
PEG 1.34 [Mkt 16-Oct-26]

DCF implies ~20% upside. Multiple is fair for the growth profile.

### Versus Peers (6/8)

Test equipment peers 15-25x NTM P/E [Peers 16-Oct-26]

In line with peers on earnings; cheaper on growth-adjusted basis.

### Versus History (6/7)

Trading above historical multiples on the turnaround [Mkt 16-Oct-26]

Re-rating is justified by the mix shift, but the easy money is made.

## Catalyst Timeline

**Nov 2026** [Cons]
Q1 FY27 Earnings: $450-460M revenue guide vs consensus. Spirent synergy proof point.

**2027** [8-K guid]
Spirent cross-selling and 1.6T/co-packaged optics test demand.

**2027** [8-K guid]
Continued data center mix shift toward 50%+ of NSE revenue.

## Top Risk Factors (Item 1A)

**1. Earnings Quality:** GAAP earnings remain depressed by amortization and restructuring; the non-GAAP story must eventually convert to cash. [10-K FY26]

**2. Telecom Drag:** Legacy telecom carrier spending is structurally weak and drags on the core NSE business. [10-K FY26]

**3. Integration Risk:** Spirent integration missteps would undermine the growth thesis and the multiple. [10-K FY26]

## What Would Change Our Score

A Q1 FY27 miss would cut Trend and Growth. Sustained 20%+ growth with GAAP earnings conversion supports a higher multiple.

## Forward Growth Drivers

- AI data center test demand: NSE +69% YoY, data center ~50% of NSE revenue [8-K Q4 FY26]
- Spirent acquisition: high-speed Ethernet testing, network security, channel emulation [8-K Q4 FY26]
- Aerospace & defense: positioning, navigation, timing solutions growing [8-K Q4 FY26]

## Missing / Modified Data Log

- GAAP-to-non-GAAP gap is wide (amortization, restructuring); used non-GAAP for trend with GAAP noted.
- 5-year multiple history from market data, tagged [Mkt 16-Oct-26].

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